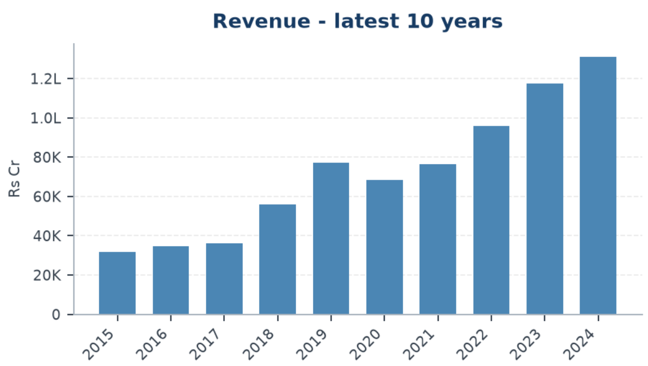
Grasim Industries Ltd

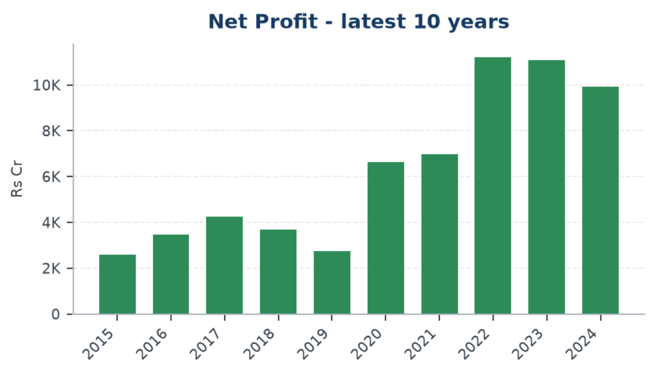
Industrials | Diversified Industrials

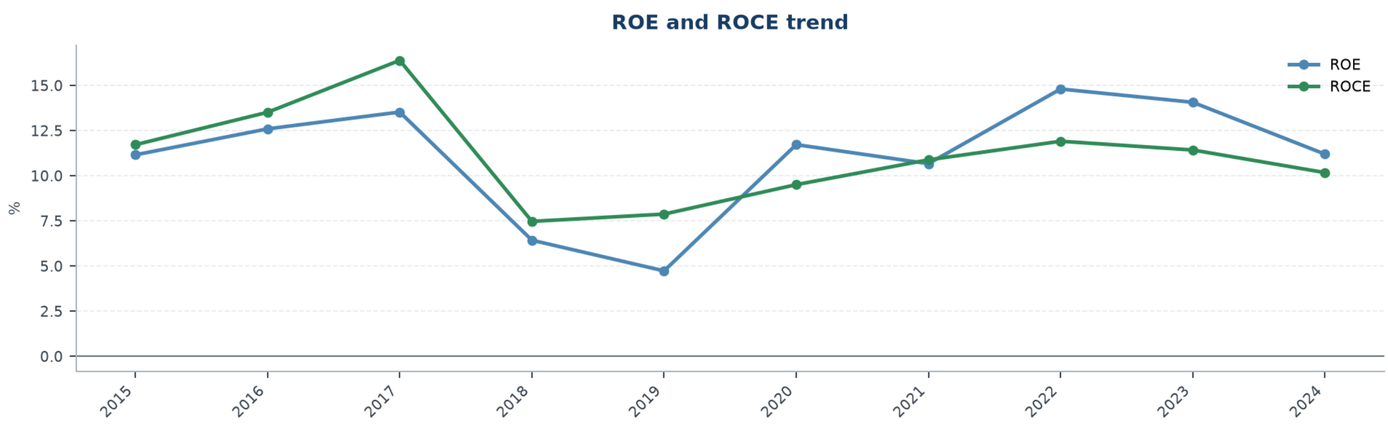
GRASIM

Revenue CAGR	PAT CAGR	ROE
11.2%	**29.3%**	**11.2%**
5-year	5-year	latest year

ROCE	Debt-to-Equity	CFO Quality
10.2%	**1.55x**	**Moderate**
latest year	latest year	5Y score 0.61x







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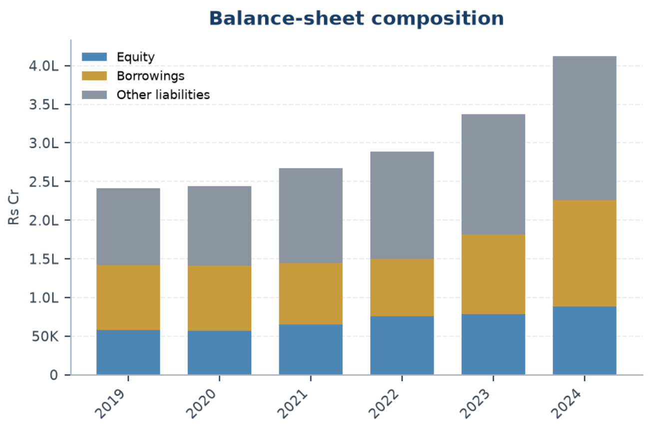
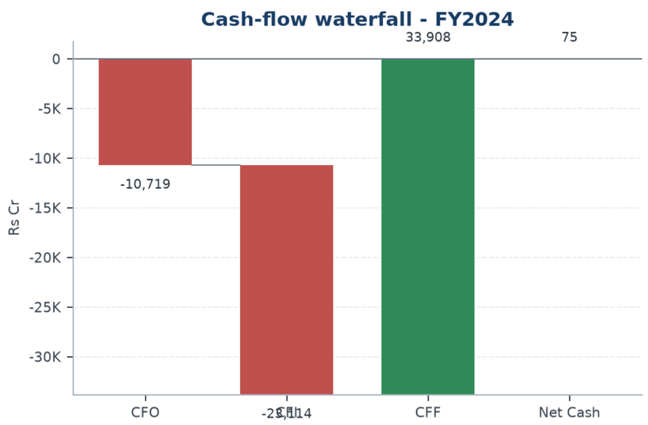
LATEST CAPITAL-ALLOCATION PATTERN	Growth Funded by Debt





Pros

1. **1.** Revenue growing slower than profits shows improving operating leverage and scale benefits (93% confidence)
2. **2.** Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (90% confidence)
3. **3.** Net profit compounding at above 20% over 5 years creates significant shareholder value (82% confidence)

Cons

1. **1.** Earnings per share declining for 3 consecutive years reflects deteriorating profitability (89% confidence)
2. **2.** Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (80% confidence)
3. **3.** Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (78% confidence)